B1040 (FORM 1040) (12/24)

ADVERSARY PROCEEDING COVER SHEET (Instructions on Reverse)	**ADVERSARY PROCEEDING NUMBER** (Court Use Only)

PLAINTIFFS	**DEFENDANTS**
Margie Geniece Franks; Benny Rex Harper and Martha Ruth Harper, Trustees of the Benny and Martha Harper Trust Number One, et al.	Bruce Watkins, II and Heida Farque Watkins
ATTORNEYS (Firm Name, Address, and Telephone No.) Branch T. Fields of Lax, Vaughan, Fortson, Rowe & Threet, P.A., 11300 Cantrell Road, Suite 201, Little Rock, AR 72212, 501-376-6565	**ATTORNEYS** (If Known)
PARTY (Check One Box Only) □ Debtor □ U.S. Trustee/Bankruptcy Admin ☑ Creditor □ Other □ Trustee	**PARTY** (Check One Box Only) ☑ Debtor □ U.S. Trustee/Bankruptcy Admin □ Creditor □ Other □ Trustee

CAUSE OF ACTION (WRITE A BRIEF STATEMENT OF CAUSE OF ACTION, INCLUDING ALL U.S. STATUTES INVOLVED)
Determination of Nondischargeability under 11 U.S.C. 523(a)(6)

NATURE OF SUIT

(Number up to five (5) boxes starting with lead cause of action as 1, first alternative cause as 2, second alternative cause as 3, etc.)

FRBP 7001(a) – Recovery of Money/Property
- ☐ 11-Recovery of money/property - §542 turnover of property
- ☐ 12-Recovery of money/property - §547 preference
- ☐ 13-Recovery of money/property - §548 fraudulent transfer
- ☐ 14-Recovery of money/property - other

FRBP 7001(b) – Validity, Priority or Extent of Lien
- ☐ 21-Validity, priority or extent of lien or other interest in property

FRBP 7001(c) – Approval of Sale of Property
- ☐ 31-Approval of sale of property of estate and of a co-owner - §363(h)

FRBP 7001(d) – Objection/Revocation of Discharge
- ☐ 41-Objection / revocation of discharge - §727(c),(d),(e)

FRBP 7001(e) – Revocation of Confirmation
- ☐ 51-Revocation of confirmation

FRBP 7001(f) – Dischargeability
- ☐ 66-Dischargeability - §523(a)(1),(14),(14A) priority tax claims
- ☐ 62-Dischargeability - §523(a)(2), false pretenses, false representation, actual fraud
- ☐ 67-Dischargeability - §523(a)(4), fraud as fiduciary, embezzlement, larceny

(continued next column)

FRBP 7001(f) – Dischargeability (continued)
- ☐ 61-Dischargeability - §523(a)(5), domestic support
- ☒ 68-Dischargeability - §523(a)(6), willful and malicious injury
- ☐ 63-Dischargeability - §523(a)(8), student loan
- ☐ 64-Dischargeability - §523(a)(15), divorce or separation obligation (other than domestic support)
- ☐ 65-Dischargeability - other

FRBP 7001(g) – Injunctive Relief
- ☐ 71-Injunctive relief – imposition of stay
- ☐ 72-Injunctive relief – other

FRBP 7001(h) Subordination of Claim or Interest
- ☐ 81-Subordination of claim or interest

FRBP 7001(i) Declaratory Judgment
- ☐ 91-Declaratory judgment

FRBP 7001(j) Determination of Removed Action
- ☐ 01-Determination of removed claim or cause

Other
- ☐ SS-SIPA Case – 15 U.S.C. §§78aaa *et.seq.*
- ☐ 02-Other (e.g. other actions that would have been brought in state court if unrelated to bankruptcy case)

□ Check if this case involves a substantive issue of state law	□ Check if this is asserted to be a class action under FRCP 23
□ Check if a jury trial is demanded in complaint	Demand $

Other Relief Sought

B1040 (FORM 1040) (12/24)

BANKRUPTCY CASE IN WHICH THIS ADVERSARY PROCEEDING ARISES		
NAME OF DEBTOR Bruce Watkins, II and Heida Farque Watkins	BANKRUPTCY CASE NO. 4:25-bk-10241	
DISTRICT IN WHICH CASE IS PENDING Eastern	DIVISION OFFICE Central	NAME OF JUDGE Rucker
RELATED ADVERSARY PROCEEDING (IF ANY)		
PLAINTIFF	DEFENDANT	ADVERSARY PROCEEDING NO.
DISTRICT IN WHICH ADVERSARY IS PENDING	DIVISION OFFICE	NAME OF JUDGE
SIGNATURE OF ATTORNEY (OR PLAINTIFF) /s/ Branch T. Fields		
DATE 4/17/2026	PRINT NAME OF ATTORNEY (OR PLAINTIFF) Branch T. Fields	

INSTRUCTIONS

The filing of a bankruptcy case creates an "estate" under the jurisdiction of the bankruptcy court which consists of all of the property of the debtor, wherever that property is located. Because the bankruptcy estate is so extensive and the jurisdiction of the court so broad, there may be lawsuits over the property or property rights of the estate. There also may be lawsuits concerning the debtor's discharge. If such a lawsuit is filed in a bankruptcy court, it is called an adversary proceeding.

A party filing an adversary proceeding must also complete and file Form 1040, the Adversary Proceeding Cover Sheet, unless the party files the adversary proceeding electronically through the court's Case Management/Electronic Case Filing system (CM/ECF). (CM/ECF captures the information on Form 1040 as part of the filing process.) When completed, the cover sheet summarizes basic information on the adversary proceeding. The clerk of court needs the information to process the adversary proceeding and prepare required statistical reports on court activity.

The cover sheet and the information contained on it do not replace or supplement the filing and service of pleadings or other papers as required by law, the Bankruptcy Rules, or the local rules of court. The cover sheet, which is largely self-explanatory, must be completed by the plaintiff's attorney (or by the plaintiff if the plaintiff is not represented by an attorney). A separate cover sheet must be submitted to the clerk for each complaint filed.

Plaintiffs and **Defendants.** Give the names of the plaintiffs and defendants exactly as they appear on the complaint.

Attorneys. Give the names and addresses of the attorneys, if known.

Party. Check the most appropriate box in the first column for the plaintiffs and the second column for the defendants.

Demand. Enter the dollar amount being demanded in the complaint.

Signature. This cover sheet must be signed by the attorney of record in the box on the second page of the form. If the plaintiff is represented by a law firm, a member of the firm must sign. If the plaintiff is pro se, that is, not represented by an attorney, the plaintiff must sign.

IN THE UNITED STATES BANKRUPTCY COURT
FOR THE EASTERN DISTRICT OF ARKANSAS
CENTRAL DIVISION

IN RE: BRUCE WATKINS, II **Case No. 4:25-bk-10241**
HEIDA FARQUE WATKINS **(Chapter 7)**

Debtor(s).

MARGIE GENIECE FRANKS; BENNY REX HARPER AND MARTHA RUTH HARPER, TRUSTEES OF THE BENNY AND MARTHA HARPER TRUST NUMBER ONE; ESTATE OF WILLIAM (DUB) HENRY HARPER; KATHLYNNE PLUEGHOFT; SUE ANN BLEDSO; STEVEN LEE BUCKLEY; LISA DICKEY; and JOHN MICHAEL BURNETT **PLAINTIFFS**

VS. **AP NO. _____**

BRUCE WATKINS, II AND
HEIDA FARQUE WATKINS **DEFENDANTS**

COMPLAINT TO DETERMINE DISCHARGEABILITY OF DEBT PURSUANT TO 11 U.S.C. § 523(a)(6)

The Plaintiffs, by and through their attorneys Lax, Vaughan, Fortson, Rowe, & Threet, P.A., for their complaint to determine dischargeability of debt pursuant to 11 U.S.C. § 523(a)(6) combined with objection to discharge pursuant to 11 U.S.C. §727(a)(6)(A), states as follows:

I.
Jurisdiction

1. The Court has jurisdiction over the subject matter and parties to this action pursuant to 28 U.S.C. § 1334 and 28 U.S.C. § 157. This is a core proceeding pursuant to 28 U.S.C. § 157(b)(2)(I). The Court has the power and authority to enter a final order in this proceeding.

II.
The Parties

2. Plaintiffs are creditors in the lead bankruptcy case.

3. Defendants, Bruce Watkins and Heida Watkins (the "**Debtors**"), are each an individual and resident of Van Buren County, Arkansas, and are the debtors in the lead bankruptcy proceeding.

III.
Facts

A. Background Pre-Bankruptcy

4. The Plaintiffs are the owners of real property located in Van Buren County, Arkansas (the "**Harper Land**"). In February 2022, the Debtors purchased other real property in Van Buren County, Arkansas (the "**Watkins Land**") that was to a degree, adjacent to and contiguous with the Harper Land. The Harper Land was not encumbered by a deeded easement, prescriptive easement, or any legal means of ingress and egress for the benefit of the Debtors.

5. Debtors constructed a road on the Harper Land without legal authority or permission, by placing over 100,000 pounds of gravel, cut trees, and disturbing the natural state of the property. The Debtors didn't even attempt to seek permission before building the road.

6. The Plaintiffs intended for their property to remain in its natural state, but the Debtors' actions altered its physical features. The actions of the Debtors modified the Harper Land from a rural secluded deer hunting property to one that may be easily accessed.

7. Debtors unlawfully trespassed on the Harper Land, cut the Plaintiffs' chains off of Plaintiffs' gate, removed Plaintiff's locks, left Plaintiffs gate open to the public, built a road. At one point, the Debtors even locked the Plaintiffs out of their own property.

8. The Debtors showed hostility in their actions to the Plaintiffs.

9. The Debtors caused the Plaintiffs to be intimidated and caused Plaintiffs to have to check on their property and make sure their property is not being further vandalized or opened to the public.

10. The Plaintiffs attempted to stop the Debtors from trespassing on the Harper Land. The Plaintiffs asked the Debtors to cease and desist by sending them informal notice as well as formal notice; Plaintiffs placed a locked gate on the road; and Plaintiffs sought assistance from Van Buren County Sheriff's Department. The Debtors ignored the Plaintiffs' requests and did exactly what the Debtors wanted regarding access to the Harper Land.

11. The Plaintiffs had to resort to litigation by filing on July 21, 2022, a civil case against the Debtors in the Circuit Court of Van Buren County, Arkansas (the "**State Court**") as Case No. 71CV-22-116 (the "**State Court Litigation**"), seeking in the complaint a preliminary injunction, a permanent injunction, damages for trespass, and a declaratory judgment as to the Harper Land. The Debtors appeared in the State Court Litigation through counsel, and the State Court Litigation was actually litigated.

12. On November 17, 2022, the Circuit Court of Van Buren County issued a preliminary injunction against the Debtors from entering the Harper Land.

13. Shortly thereafter, and as evidence of the Debtors' malice, the Debtors then decided to take similar actions with a neighboring property owned by one Peggy Nuckles, cutting her fence, and building a new road across her property, without right.

14. Ms. Nuckles intervened in the State Court Litigation, filing her own petition seeking a preliminary injunction against the Debtors.

15. The State Court Litigation came on for trial on August 12, 2024, but was continued to September 23, 2024 due to Mr. Watkins suffering a health episode.

16. The trial was held on September 23, 2024, where the parties appeared, and tried the matter, resulting in a ruling in favor of the Plaintiffs against the Defendants.

17. On October 7, 2024, the State Court entered an Order for Permanent Injunction, Declaratory Judgment, and Damages (the "**Initial Judgment**") in the State Court Litigation, thereby making findings of fact, issuing an injunction, and awarding damages to the Plaintiffs. The Initial Judgment left open the issue of treble damages for the Plaintiffs. A copy of the Initial Judgment is attached hereto as **Exhibit A**, and incorporated herein by reference.

18. On December 24, 2024, the State Court entered a Final Order for Permanent Injunction, Declaratory Judgment, and Damages (the "**Final Judgment**") in the State Court Litigation, reiterating the findings and award in the Initial Judgment, but also awarding treble damages to the Plaintiffs pursuant to A.C.A. §18-60-102, such judgment being in the face amount of $41,382.78. A copy of the Initial Judgment is attached hereto as **Exhibit B**, and incorporated herein by reference.

19. The Final Judgment is final and non-appealable.

IV.

Complaint to Determine Dischargeability of Debt Pursuant to Section 523(a)(6)

20. 11 U.S.C. §523(a)(6) provides that a debt is not discharged if the debt is "for willful and malicious injury by the debtor to another entity or to the property of another entity." 11 U.S.C. § 523(a)(6). The Debtors are not entitled to discharge the claims of the Plaintiffs pursuant to 11 U.S.C. §523(a)(6) due to the willful and malicious injury by the Debtors to the Harpers.

21. The term 'willful' requires a deliberate or intentional injury, not merely a deliberate or intentional act that leads to injury. *Kawaauhau v. Geiger*, 523 U.S. 57, 59 (1998). To satisfy this element, it must be established that "the debtor intended the injury or that the injury was

relatively certain to result from the act." *In re Richmond*, 430 B.R. 846, 867 (Bankr. E.D. Ark. 2010).

22. Upon information and belief, the Debtors' conduct was willful by constructing a road on and damaging the Plaintiffs' property without legal authority or permission. Despite repeated informal and formal demands that they cease and desist, including after the Plaintiffs installed locks on their gates to prevent further access, the Debtors knowingly cut off the locks and continued construction. The Debtors' conduct was deliberate and undertaken with knowledge that injury to the Plaintiffs' property rights was substantially certain to occur.

23. Conduct is "malicious" when it is directed at the creditor and is certain or nearly certain to result in financial harm. *In re Madsen*, 195 F.3d 988, 989 (8th Cir. 1999). Malice may be established by showing that, with knowledge of the creditor's rights, the debtor intentionally acted in violation of those rights. *Eldridge v. Waugh*, 198 B.R. 545, 548 (E.D. Ark. 1995), aff'd sub nom. In re Waugh, 95 F.3d 706 (8th Cir. 1996).

24. Upon information and belief, the Debtors' conduct was malicious in that the Debtors acted maliciously by knowingly violating the Plaintiff's property rights. The Debtors disturbed the natural state of the Plaintiffs' property, which the Harpers intended to preserve in its natural state, and constructed a road that rendered its previously secluded hunting land easily accessible.

25. The Debtors further acted maliciously by physically excluding the Plaintiffs from their own property. After the Plaintiffs installed a lock on their gate to prevent the Debtors' unauthorized access, the Debtors knowingly cut off the Plaintiffs' lock and replaced it with their own, effectively locking the Harpers out of their property. This conduct was intentional, wrongful,

and undertaken with knowledge that it was substantially certain to cause harm to the Plaintiffs' and their property interest.

26. Additionally, the Plaintiffs were awarded treble damages in the case against the debtors for this trespass. Under Ark. Code Ann. § 18–60–102(a) treble damages require a showing of intentional wrongdoing, which may be inferred from knowing or reckless conduct. *Auger Timber Co., Inc. v. Jiles*, 56 S.W.3d 386, 389 (Ark. App. 2001).

27. The Debtors should be denied a discharge as to the claims of the Plaintiffs awarded, and to be awarded, in the State Court Litigation, including in Initial Judgment and the Final Judgment, pursuant to 11 U.S.C. §523(a)(6). Such claims of the plaintiffs should be determined to be nondischargeable and excepted from any discharge of the Debtors.

28. The Debtors' have engaged in actions in the bankruptcy case that have caused unnecessary confusion and unreasonably delay, causing the Plaintiffs to incur attorneys' fees and costs. Such actions include the filing of false schedules and statements and refusal to timely comply with orders of the Court. Such actions were intentionally vexatious and dilatory.

29. The Plaintiffs should be entitled to an additional judgment for their attorneys' fees and costs incurred in this Adversary Proceeding and in the lead bankruptcy case. Such award should be determined to be non-dischargeable under 11 U.S.C. § 523(a)(6)

V.

Prayer for Relief

WHEREFORE, for the reasons stated above, the Plaintiffs Margie Geniece Franks; Benny Rex Harper and Martha Ruth Harper, Trustees of the Benny and Martha Harper Trust Number One; Estate of William (DUB) Henry Harper; Kathlynne Plueghoft; Sue Ann Bledso; Steven Lee Buckley; Lisa Dickey; and John Michael Burnett pray that their claims against the Debtors,

including the claims awarded, and to be awarded, to Plaintiffs in the State Court Litigation, including the Initial Judgment and the Final Judgment, be declared nondischargeable pursuant to 11 U.S.C. § 523(a)(6); that the claims of the Plaintiffs be excepted from any discharge of the Debtors; that the Plaintiffs be awarded their attorneys fees and costs incurred in this Adversary Proceeding and in the lead bankruptcy case, and that the same be determined to be non-dischargeable pursuant to 11 U.S.C. § 523(a)(6); and for all other just and proper relief to which they may be entitled.

Respectfully submitted,

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